



The Morning Brief

MAY 18, 2026

Clock Ticking

Brent advanced toward \$111 and Bitcoin moved below \$77,000 into the Monday open as the regional security picture widened over the weekend; Trump is scheduled to convene national security advisers Tuesday ahead of a Wednesday triple of NVDA earnings, the Warsh-era FOMC minutes, and the NEE-Dominion talks still pending.

S&P 500 (FRI CLOSE)	BRENT (LIVE MON)	WTI (LIVE MON)	BITCOIN (LIVE)	FEAR & GREED
\$739.17 · ↓1.20% Fri	~\$111.42 · ↑1.98% overnight	~\$107.98 · ↑2.43% · Month high	~\$76,869 · Below \$77,000	28 · Fear

SECTION 01

Markets — Monday Open

BRENT ADVANCED TOWARD \$111 AND BITCOIN MOVED BELOW \$77,000 INTO THE MONDAY OPEN AS THE REGIONAL SECURITY PICTURE WIDENED OVER THE WEEKEND — TRUMP IS SCHEDULED TO CONVENE NATIONAL SECURITY ADVISERS TUESDAY AHEAD OF WEDNESDAY’S NVDA, WARSH-ERA FOMC MINUTES, AND THE NEE-DOMINION TALKS THAT REMAIN PENDING

The setup carries the prior briefs’ narrow-diplomatic-window framing into a Monday open colored by widening regional incidents and a firmer energy bid. Per CNBC’s session coverage, Brent crude futures rose 1.98% to approximately \$111.42 per barrel in early Monday trade and WTI advanced 2.43% to \$107.98 — the highest reading of the month per CNBC. Per the data drop’s headline aggregator citing Reuters, Saudi Arabia intercepted three drones over the weekend that entered from Iraqi airspace and a drone struck a UAE nuclear power plant — the regional geometry of the conflict has widened materially from the Strait of Hormuz core. Trump separately stated that the clock is ticking for Iran per Reuters, and Axios reporting carried by Reuters indicates Trump is scheduled to meet with national security advisers Tuesday with Iran the explicit topic. Bitcoin moved below \$77,000 to approximately \$76,869 per LatestLY and CoinMarketCap; the weekend break reportedly triggered approximately \$527 million in long-side liquidations during a single hour and spot Bitcoin ETFs recorded net outflows of approximately 13,000 BTC last week per the same coverage, characterized as the worst weekly performance since early February. US futures drifted lower in Asian trade per CNBC’s pre-market coverage as the Friday selloff carries into a Monday open compressed between the regional-security tape and the Wednesday catalyst cluster.

BRENT · WTI (LIVE MON)	~\$111.42 ↑1.98% · ~\$107.98 ↑2.43% (month high per CNBC)
WEEKEND REGIONAL	Saudi intercepts 3 drones from Iraqi airspace · UAE nuclear plant drone strike per data drop headlines
TUESDAY · NSC MEETING	Trump scheduled to meet national security advisers per Axios via Reuters · Iran the explicit topic
BITCOIN · LIQUIDATIONS	~\$76,869 per CoinMarketCap · ~\$527M long liquidations on weekend break per LatestLY
WED MAY 20 · TRIPLE CATALYST	NVDA fiscal Q1'27 AMC · FOMC Minutes (Powell's final meeting, first Warsh-era release) · ADI pre-market
NEE-DOMINION TALKS	~\$76/share, 0.8 NEE share exchange ratio · ~75% NEE shareholder ownership per Bloomberg via Investing.com
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested (Fri low \$737.96 — mid-teens percent above)

THE WARSH-ERA MINUTES ARRIVE WEDNESDAY WITH THE TAPE ALREADY REPRICING TOWARD HIKE RISK — PER RECENT COVERAGE, OCTOBER HIKE ODDS NOW APPROACH ~20% AND DECEMBER ~30%, AN INVERSION OF THE CUT-DOMINANT OUTLOOK FROM EARLIER IN THE YEAR

Per CNBC, Reuters, and TheStreet coverage of the post-CPI and post-PPI repricing, futures markets have shifted from a cut-dominant outlook earlier in the year to one that prices meaningful odds of a hike rather than a cut at upcoming meetings — recent coverage indicates approximately 20% probability for an October hike and approximately 30% for December. BofA Global Research has pushed its first cut forecast to 2027 per TheStreet. Wednesday's FOMC minutes capture Powell's final meeting and arrive on Kevin Warsh's desk as the first release of his chairmanship per the Fed calendar and CNBC; the language on the three dissents, the staff inflation path, and any signal on the inflation-versus-credibility balance is what the rates desk will parse. Today's calendar is lighter — Fed Governor Venable speaks at 12:30 PM CT alongside the NY Fed Services Activity Index (prior – 14), and the NAHB Housing Market Index lands at 2:00 PM CT (consensus 35, prior 34). For the IOWN framework, the dividend spine (ABT, CL, NEE, GD, ATO, ADP, SYK) and the physical-AI growth bucket (CVX, VLO, OKE, NVDA, TSM, MRVL) is the positioning that historically tends to perform when inflation is sticky and the policy path is biased higher for longer.

The diplomatic window has narrowed further and the regional geometry has widened — the structural energy and defense positioning was constructed for this geometry rather than against it.

Research Reveals Opportunities.

Geopolitics

THE IRAN DIPLOMATIC WINDOW HAS NARROWED FURTHER OVER THE WEEKEND AND THE REGIONAL GEOMETRY HAS WIDENED — SAUDI DRONE INTERCEPTS FROM IRAQI AIRSPACE, A UAE NUCLEAR-PLANT DRONE STRIKE, TREASURY SECRETARY BESSANT'S G7 SANCTIONS PUSH, AND TRUMP'S TUESDAY NATIONAL SECURITY CONSULTATION ALL COMPRESS INSIDE THIS WEEK

The dominant weekend storyline remains the Iran trajectory, with the operational and diplomatic vectors converging into a single week. Per Reuters via the data drop headlines, Treasury Secretary Bessent intends to call on the G7 to follow the US sanctions regime on Iran — an explicit move to broaden the financial pressure track. Per the same Reuters aggregation, Saudi Arabia announced it had intercepted three drones that entered from Iraqi airspace, and a UAE nuclear power plant was reportedly struck by a drone over the weekend, with oil prices touching a two-week high on the headline. Per Reuters and CBS Sunday coverage, Trump characterized the standing ceasefire as on life support and rejected Tehran's latest reply as totally unacceptable; per Axios via Reuters, the president is scheduled to convene national security advisers Tuesday with Iran the explicit topic. Per Reuters via the data drop, Iran's stock market is scheduled to reopen Tuesday after suspension — the regime's public posture of domestic continuity timed to the same window. Per Reuters reporting referenced by the data drop, the human and economic cost of the conflict for global companies has now been estimated at approximately \$25 billion and rising. If taken at face value, the combination of Sunday's diplomatic posture, Tuesday's scheduled NSC consultation, and the widening regional incident map indicates the decision window the prior briefs flagged appears to sit inside this week rather than ahead of it.

CRUDE STOCKPILES ARE DEPLETING AT A RECORD PACE PER IEA, THE US RUSSIAN OIL WAIVER HAS NOW EXPIRED, AND THE IOWN ENERGY SLEEVE SITS ON THE RIGHT SIDE OF THE ASYMMETRY — A FURTHER OPERATIONAL LEG WOULD COMPOUND THE ~4 MILLION BPD EMBEDDED UNDERSUPPLY RATHER THAN RELIEVE IT

The structural energy backdrop has tightened further. Per the IEA's May monthly oil market report cited by Trading Economics and CNBC, global crude inventories are depleting at a record pace as the Strait of Hormuz remains effectively closed; the agency warned that rapidly shrinking buffers and continued disruptions could foreshadow future price spikes ahead. Per Reuters via the data drop, the US Treasury allowed its Russian oil waiver to expire amid crude back around \$100, removing one of the marginal supply taps in the official channel. Per the House of Commons Library and UANI tracking referenced in the prior briefs, open Hormuz transits have run near zero per day since May 6 versus roughly 138 vessels daily pre-crisis. The IOWN energy sleeve captured Friday's asymmetric move and is positioned for the Monday open: CVX +2.39% to \$191.10, VLO +2.44% to \$250.74, and OKE +1.42% to \$92.32, with XLE +2.36% the lone winning sector on Friday per the data drop. Defense exposure via LMT and GD provides the orthogonal hedge; per

Finnhub-aggregated reporting in the data drop, Lockheed Martin is investing heavily to expand ammunition production capacity — a structural rather than tactical alignment with the regime under review.

SUNDAY DIPLOMATIC STATUS	Tehran reply called unacceptable per Reuters · Ceasefire on life support per Trump (NPR/PBS) · Bessent G7 sanctions push per Reuters
REGIONAL INCIDENTS	Saudi intercepts 3 drones from Iraqi airspace · UAE nuclear plant drone strike per Reuters via data drop
TUESDAY · TWIN EVENTS	Trump-NSC Iran meeting per Axios via Reuters · Iran stock market scheduled reopen per Reuters
HORMUZ TRANSIT	~0/day since May 6 vs ~138/day pre-crisis per Commons Library/UANI
IEA · INVENTORIES	Depleting at record pace per May report · Shrinking buffers and continued disruptions could foreshadow further price spikes
IRAN WAR · GLOBAL COST	~\$25 billion and rising per Reuters reporting via data drop headlines
IOWN ENERGY (FRI)	CVX ↑2.39% · VLO ↑2.44% · OKE ↑1.42% · XLE ↑2.36% (lone winning sector)

On Our Radar

1. NEE–Dominion remains in talks heading into Monday’s open and the financial terms have now been reported — Bloomberg coverage points to roughly \$76 per share, a 0.8 NEE-share exchange ratio, and NEE shareholders owning approximately 75% of the combined utility. Per Bloomberg and Investing.com’s readout of the Bloomberg reporting carried over the weekend, NextEra Energy is discussing a mostly stock combination with Dominion Energy at approximately \$76 per share, valuing Dominion equity at roughly \$66 billion, with the combined enterprise value approaching \$400 billion per Seeking Alpha and PowerMag coverage. Per TipRanks and the RTO Insider follow-on coverage, the strategic logic is the AI-driven power demand running through Dominion’s Virginia and Carolinas footprint — the country’s primary data-center corridor — layered onto NextEra’s Florida-based renewable and nuclear base. NEE closed Friday at \$93.36 (–2.42%) per the data drop ahead of the weekend reporting. Per Bloomberg, talks remain ongoing and could still collapse; antitrust and federal/state regulators would each need to approve. If the deal materializes, it would represent the largest articulation of the physical-AI infrastructure thesis to date and would directly reshape the dividend sleeve’s most strategic AI-utility holding. *Think Like an Owner.*

2. Wednesday’s NVDA print and Warsh-era FOMC minutes anchor the back half of the week — consensus is approximately \$78 billion in revenue and approximately \$1.77 EPS, with data center near \$73 billion and Q2 guidance the variable that historically moves the after-hours tape. Per S&P Global, heygotrade, Morningstar, Seeking Alpha and The Motley Fool consensus aggregations, NVDA fiscal Q1’27 looks for approximately \$78 billion in revenue, approximately \$1.77 in non-GAAP EPS, and approximately \$73 billion in data center revenue with some shops above \$75 billion. Gross margin consensus is approximately 74.5% against company guidance near 75% per heygotrade. Q2 guidance is where the print historically converts to a tradable thesis — consensus expects \$85–\$87 billion per The Motley Fool with whisper numbers near \$90 billion. NVDA closed Friday at \$225.32 (–4.42%) per the data drop after the Thursday H200 record print, and prediction markets price approximately 97% beat probability per The Motley Fool — the bar to surprise upward is structurally elevated. The same Wednesday session brings the FOMC minutes from Powell’s final meeting on Warsh’s desk per the Federal Reserve calendar; per recent coverage, traders now price approximately 20% odds of an October hike and 30% in December. ADI also prints pre-market per Stocktitan — the IOWN dividend-sleeve read-through on industrial and auto-semi demand. *Research Reveals Opportunities.*

3. Bitcoin moved below \$77,000 over the weekend to roughly \$76,869 with reported weekend liquidations of approximately \$527 million in a single hour — the IOWN digital-asset ETFs gave back into Friday's close and now read against a fresh leg lower in the underlying. Per LatestLY and CoinMarketCap coverage, BTC traded near \$76,869 Monday morning, with the move below \$77,000 reportedly triggering approximately \$527 million in long-side liquidations during a single hour over the weekend; spot Bitcoin ETFs recorded net outflows of approximately 13,000 BTC last week per the same coverage, characterized as the worst weekly performance since early February. The IOWN digital ETFs closed Friday lower (IBIT -2.92% to \$44.82, ETHA -3.46% to \$16.76 per the data drop), and the weekend break extends the move. The retail-direct exposure inside the growth sleeve also gave back Friday (HOOD -4.41% to \$77.14, COIN -7.82% to \$195.43, MARA -6.40%, HUT -6.31% per the data drop). The Italian bank disclosure of bitcoin and ether exposure carried by Yahoo Finance is a sideline institutional adoption datapoint that does not change the near-term tape. *Avoid Erosion.*

4. Iran's stock market is scheduled to reopen Tuesday per Reuters even as the operational picture tightens — the resumption is the regime's explicit posture of domestic continuity heading into Tuesday's US NSC consultation and Wednesday's catalyst cluster. Per Reuters via the data drop headlines, the Tehran exchange is scheduled to resume Tuesday after suspension. The juxtaposition with Trump's scheduled Tuesday meeting with national security advisers per Axios via Reuters and the widening regional incident map is the meaningful signal — both sides appear to be publicly preparing for a sustained track rather than a near-term off-ramp. For the IOWN sleeve, the energy block (CVX, VLO, OKE, CTRA, CNX) and defense (LMT, GD) remain the structural expressions; CTRA gave back materially Friday (-8.62% to \$32.56) and is the only energy-sleeve name that does not align cleanly with the physical-supply asymmetry, while LMT is separately investing in expanded ammunition production capacity per Finnhub-aggregated reporting. *The physical world matters.*

5. Today's data calendar is light but the housing read matters for the rate setup — NAHB Housing Market Index lands at 2:00 PM CT (consensus 35, prior 34) alongside Fed Governor Venable's scheduled remarks; bill auctions follow at 3:30 PM CT and the TIC capital-flows data drops after the close. Per the data drop economic calendar, the NAHB Housing Market Index is the key release at 2:00 PM CT with consensus at 35 versus prior 34; the index has trended in the low-30s territory in recent months and any directional read into the rate-sensitive sleeve (TOL -4.38% Friday to \$126.22 per the data drop) will be noticed. Fed Governor Venable speaks at 12:30 PM CT

alongside the NY Fed Services Activity Index (prior -14); 3-month and 6-month bill auctions follow at 3:30 PM CT (prior 3.61 and 3.615 respectively per the data drop). The Treasury TIC release at 8:00 PM CT publishes net long-term flows (prior 58.6) and overall net capital flows (prior 184.5) — the foreign-demand read into Treasuries against the recent backup in yields. **Simplicity Over Complexity.**

6. Carson's active SPY support at \$645.80 remains untested with Friday's low at \$737.96 — the index sits roughly the mid-teens percent above the retracement target as the geopolitical and rate-path catalysts cluster inside this week. The retracement framework set on April 13 remains intact and unhit; the structural cushion versus Carson's level is unchanged from Friday's close into Monday's open. Fear & Greed sits at 28 (Fear) per the data drop, in the same low-20s/high-20s zone the prior briefs have noted, with the divergence between sentiment and index level a persistent feature of this tape. The retail-direct exposure inside the growth sleeve and the digital ETFs are bearing the bulk of the macro and geopolitical risk repricing — the Carson level continues to function as the meaningful downside reference if the strikes-binary or the hike-risk scenarios deepen in the same window. *Avoid Erosion.*